

RYDA Sample Damage Reserve Policy

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This sample explains how an LLC damage reserve may be used. Actual reserve amounts and allocation rules are set by the Operating Agreement and insurance policy.

1. Purpose

The damage reserve helps the LLC respond quickly to minor damage, deductibles, inspection costs, and urgent repairs without waiting for a member capital call.

2. Funding

The reserve is funded at closing and replenished as needed through approved operating budgets or member-approved capital calls.

3. Covered Uses

Reserve funds may be used for:

- insurance deductibles;
- minor cosmetic repairs;
- diagnostic inspections;
- towing or transport after an incident;
- vendor deposits;
- emergency repairs required to protect the asset; and
- claims-administration costs.

4. Attribution

Damage is attributed using handover photos, return photos, telematics where available, service-provider observations, member statements, and insurance claim findings.

5. Member Responsibility

If damage is caused by negligent, unauthorized, or prohibited use, the responsible member may owe reimbursement beyond their pro-rata reserve contribution, subject to the final Operating Agreement.

6. Insurance Claims

RYDA coordinates claim submission and repair logistics, but the carrier and policy terms control coverage. Members must cooperate with claim investigation and provide requested information promptly.

7. Reserve Reconciliation

Reserve activity is reported to members. Any remaining reserve at asset sale or LLC dissolution is handled through the final distribution waterfall.